EXHIBIT 1

CITY OF FALLS CITY, NEBRASKA
STATEMENT OF NET POSITION
SEPTEMBER 30, 2024

	Primary Government			Discretely Presented Component Unit
	Governmental Activities	Business-type Activities	Total	
ASSETS				
Cash (Note 2)	$ 2,563,624	$ 16,567,144	$ 19,130,768	$ 12,699
Certificates of Deposit & Investments (Note 2)	88,782	110,667	199,449	-
Receivables, net	32,193	2,087,861	2,120,054	-
Inventories	6,457	1,638,003	1,644,460	-
Note receivable (Note 3)	306,199		306,199	-
Restricted Assets:				
Bond Reserve (Note 2)		-	-	
Depreciation fund (Note 2)		-	-	-
Customer deposits (Note 2)		-	-	-
Capital improvement fund (Note 2)		-	-	-
Capital assets: (Note 4)			-	
Land and Work in Progress	703,274	5,424,605	6,127,879	-
Building and improvements, net	2,036,704	3,218,325	5,255,029	-
Infrastructure, equipment and vehicles, net	8,106,569	29,467,102	37,573,671	-
Total capital assets	10,846,547	38,110,032	48,956,579	-
Total assets	$ 13,843,802	$ 58,513,707	$ 72,357,509	$ 12,699
LIABILITIES				
Accounts payable	$ 421,903	$ 733,609	$ 1,155,512	$ -
Accrued interest	-	83,928	83,928	-
Salaries and benefits payable	168,937	231,877	400,814	-
Customer deposits	-	347,431	347,431	-
Deferred revenue	-	102,587	102,587	-
Noncurrent Liabilities: (Note 6)				
Due within one year	75,000	1,051,161	1,126,161	-
Due in more than one year	695,000	15,802,222	16,497,222	12,699
Total Liabilities	1,360,840	18,352,815	19,713,655	12,699
NET POSITION				
Net investment in				
Capital Asset	$ 10,076,547	$ 21,256,649	31,333,196	$ -
Restricted	-	8,306,343	8,306,343	-
Unrestricted	2,406,415	10,597,900	13,004,315	12,699
Total Net Position	$ 12,482,962	$ 40,160,892	$ 52,643,854	$ 12,699

The notes to financial statements are an integral part of this statement.

EXHIBIT 2

CITY OF FALLS CITY, NEBRASKA
STATEMENT OF ACTIVITIES
FOR THE YEAR ENDED SEPTEMBER 30, 2024

Function/Programs	Expenses	Program Revenues: Fees, Fines, and Charges for Services	Program Revenues: Operating Grants and Contributions	Program Revenues: Capital Grants and Contributions	Net (Expense), Revenue, and Changes in Net Position: Primary Government: Governmental Activities	Primary Government: Business Type Activities	Primary Government: Total	Discretely Presented Component Unit
Primary Government:								
Governmental activities:								
General government	$ 960,130	$ 317,402	$ -	$ -	$ (642,728)	$ -	$ (642,728)	$ -
Public safety	1,810,561	-			(1,810,561)	-	(1,810,561)	-
Street and alleys	901,562	-	-	-	(901,562)	-	(901,562)	-
Culture and recreation	1,124,998	60,851	45,125	-	(1,019,022)	-	(1,019,022)	-
Cemetery	132,850	21,740		-	(111,110)	-	(111,110)	-
Airport	413,861	2,100	-	481,336	69,575	-	69,575	-
HUD programs	292,881	-	-	-	(292,881)	-	(292,881)	-
Community development	520,346	-	-	-	(520,346)	-	(520,346)	-
Total governmental activities	6,157,189	402,093	45,125	481,336	(5,228,635)	-	(5,228,635)	-
Business-type activities:								
Electric	6,587,687	7,669,568	-	-	-	1,081,881	1,081,881	-
Water	1,620,516	1,669,211	-	-	-	48,695	48,695	-
Gas	2,598,651	3,007,588	-	-	-	408,937	408,937	-
Sewer	1,191,599	1,248,805	-	-	-	57,206	57,206	-
Total business-type activities	11,998,453	13,595,172	-	-	-	1,596,719	1,596,719	-
Total Primary Government	18,155,642	13,997,265	45,125	481,336	(5,228,635)	1,596,719	(3,631,916)	-
Component Unit								
Main Street	$ 32,559	$ -	$ 31,325	$ -	$ -	$ -	$ -	$ (1,234)
General Revenues:								
Property and city taxes, levied for general purposes					3,758,156		3,758,156	-
Grants/Intergovernmental not restricted to specific programs					1,319,856	-	1,319,856	-
Interest dividends and earnings on investments					89,847	589,709	679,556	-
Miscellaneous revenue (Expense)					260,779	(830,411)	(569,632)	-
Interest Expense					-	(308,136)	(308,136)	-
Total general revenues					5,428,638	(548,838)	4,879,800	-
Change in net position					200,003	1,047,881	1,247,884	(1,234)
Net position - Beginning (Restated)					12,282,959	39,113,011	51,395,970	13,933
Net position - ending					$ 12,482,962	$ 40,160,892	$ 52,643,854	$ 12,699

The notes to financial statements are an integral part of this statement.

EXHIBIT 3

CITY OF FALLS CITY, NEBRASKA
BALANCE SHEET
GOVERNMENTAL FUNDS
30-Sep-24

	General Fund	Economic Development Fund	HUD Fund	Capital Improvement Fund	Other Governmental Funds	Total Governmental Funds
ASSETS						
Cash (Note 2)	$ (902,611)	$ -	$ 18,614	$ 3,074,822	$ 539,886	$ 2,730,711
Certificates of Deposit & Investments (Note 2)	88,782	152,817	-	-	-	241,599
Notes receivable (Note 3)	-	-	6,199	300,000	-	306,199
Inventory	6,457	-	-	-	-	6,457
Total assets	(807,372)	152,817	24,813	3,374,822	539,886	3,284,966
LIABILITIES AND FUND BALANCES						
Liabilities:						
Accounts payable	421,903	-	-	-	-	421,903
Salaries and benefits payable	168,937	-	-	-	-	168,937
Total liabilities	590,840	-	-	-	-	590,840
Fund balances:						
Nonspendable	6,457	-	-	-	-	6,457
Restricted	-	-	-	-	374,036	374,036
Committed	-	-	6,199	300,000	165,850	472,049
Assigned	-	152,817	18,614	3,074,822	-	3,246,253
Unassigned	(1,404,669)	-	-	-	-	(1,404,669)
Total fund balances	(1,398,212)	152,817	24,813	3,374,822	539,886	2,694,126
Total liabilities and fund balances	$ (807,372)	$ 152,817	$ 24,813	$ 3,374,822	$ 539,886	$ 3,284,966

The notes to financial statements are an integral part of this statement.

EXHIBIT 4

CITY OF FALLS CITY, NEBRASKA
STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES
IN FUND BALANCES – GOVERNMENTAL FUNDS
FOR THE YEAR ENDED SEPTEMBER 30, 2024

	General Fund	Economic Development Fund	HUD Fund	Capital Improve-ment	Other Governmental Funds	Total Governmental Funds
Revenues						
Taxes	$ 1,944,177	$ -	$ -	$ 1,813,979	$ -	$ 3,758,156
Intergovernmental/Grants	1,767,652	-	278,716	-	-	2,046,368
Licenses and permits	122,634	-	-	-	-	122,634
Rent/Leases	18,755	-	-	-	-	18,755
Charges for services	93,605	-	-	-	10,500	104,105
Fines and forfeits	1,270	-	-	-	-	1,270
Sale of supplies/property	191,649	-	-	-	-	191,649
Contributions	45,125	-	-	-	-	45,125
Miscellaneous	69,130	-	-	-	-	69,130
Total revenues	4,253,997	-	278,716	1,813,979	10,500	6,357,192
Expenditures						
Current:						
General government	764,137	-	-	-	-	764,137
Public safety	1,721,110	-	-	-	-	1,721,110
Streets and alleys	812,111	-	-	-	-	812,111
Cultural and recreation	934,923	-	-	-	7,152	942,075
Cemetery	131,296	-	-	-	-	131,296
Airport	173,111	-	-	-	-	173,111
HUD programs	-	-	292,881	-	-	292,881
Community development	-	-	-	808,871	-	808,871
Debt Service:						
Principal	-	-	-	-	-	-
Interest	-	-	-	-	-	-
Capital outlay	1,905,938	-	-	-	-	1,905,938
Total expenditures	6,442,626	-	292,881	808,871	7,152	7,551,530
Excess of revenues over (under) expenditures	(2,188,629)	-	(14,165)	1,005,108	3,348	(1,194,338)
Other Financing Sources						
Interest/Dividends	86,447	-	-	-	3,400	89,847
Transfer in	243,250	-	-	252,121	-	495,371
Transfer out	(252,121)	-	-	(243,250)	-	(495,371)
Total Other Financing Sources	77,576	-	-	8,871	3,400	89,847
Net change in fund balance	(2,111,053)	-	(14,165)	1,013,979	6,748	(1,104,491)
Fund balances - beginning	712,841	152,817	38,978	2,360,843	533,138	4,299,522
Fund balances - ending	$ (1,398,212)	$ 152,817	$ 24,813	$ 3,374,822	$ 539,886	$ 2,694,126

The notes to financial statements are an integral part of this statement.

EXHIBIT 5

CITY OF FALLS CITY, NEBRASKA
STATEMENT OF NET POSITION
PROPRIETARY FUNDS
30-Sep-24

	Business Type Activities - Enterprise Funds					Governmental Activities-
	Electric Fund	Water Fund	Gas Fund	Sewer Fund	Totals	Internal Service Fund
ASSETS						
Current Assets:						
Cash & Investments (Note 2)	$ 8,334,823	$ 1,184,991	$ 5,797,276	$ 1,250,054	$ 16,567,144	(319,904)
Investments (Note 2)	110,667	-	-	-	110,667	
Receivables, net	1,410,600	306,463	167,674	203,124	2,087,861	11,576
Inventory	1,350,312	163,990	123,701	-	1,638,003	5,850
Total Current Assets	11,206,402	1,655,444	6,088,651	1,453,178	20,403,675	(302,478)
Noncurrent Assets:						
Restricted Assets						
Bond Reserve (Note 2)	-	-	-	-	-	-
Depreciation fund (Note 2)	-	-	-	-	-	-
Capital improvement fund (Note 2)	-	-	-	-	-	-
Customer deposits (Note 2)	-	-	-	-	-	-
Capital assets: (Note 4)						
Land & Work In Progress	4,255,686	553,748	32,024	583,147	5,424,605	-
Building and improvement, net	109,268	2,674,137	-	434,920	3,218,325	-
Infrastructure, equipment and vehicles, net	17,456,544	8,264,755	1,322,385	2,423,418	29,467,102	850
Total Noncurrent Assets	21,821,498	11,492,640	1,354,409	3,441,485	38,110,032	850
Total Assets	$ 33,027,900	$ 13,148,084	$ 7,443,060	$ 4,894,663	$ 58,513,707	$ (301,628)
LIABILITIES						
Current Liabilities:						
Accounts Payable	$ 32,818	$ -	$ 241,916	$ 458,875	$ 733,609	$ -
Accrued Interest	61,631	20,119	-	2,178	83,928	-
Salaries and benefits payable	79,142	43,646	84,888	24,201	231,877	1,899
Deferred revenue	145,300	(16,202)	(11,346)	(15,165)	102,587	-
Interfund payables (Note 5)	-	-	-	-	-	-
Customer deposits	71,843	114,093	161,495	-	347,431	-
Current portion of long-term debt	595,000	312,336	-	143,825	1,051,161	-
Total Current Liabilities	985,734	473,992	476,953	613,914	2,550,593	1,899
Long-term debt, net of current portion (Note 6)	11,640,000	3,826,047	-	336,175	15,802,222	-
Total Liabilities	12,625,734	4,300,039	476,953	950,089	18,352,815	1,899
NET POSITION (deficit)						
Net Investment in capital assets	9,586,498	7,354,257	1,354,409	2,961,485	21,256,649	-
Restricted	6,237,715	201,531	1,365,845	501,252	8,306,343	-
Unrestricted	4,577,953	1,292,257	4,245,853	481,837	10,597,900	-
Total net position	$ 20,402,166	$ 8,848,045	$ 6,966,107	$ 3,944,574	$ 40,160,892	$ (303,527)

The notes to financial statements are an integral part of this statement.

EXHIBIT 6

CITY OF FALLS CITY, NEBRASKA
STATEMENT OF REVENUES, EXPENSES,
AND CHANGES IN FUND NET POSITION
PROPRIETARY FUNDS
FOR THE YEAR ENDED SEPTEMBER 30, 2024

	Business Type Activities - Enterprise Funds					Governmental Activities-Internal Service Fund
	Electric Fund	Water Fund	Gas Fund	Sewer Fund	Totals	
Operating Revenues:						
Charge for services / Sales	$ 7,669,568	$ 1,669,211	$ 3,007,588	$ 1,248,805	$ 13,595,172	$ 35
Total Operating Revenues	7,669,568	1,669,211	3,007,588	1,248,805	13,595,172	35
Operating Expenses:						
General and administrative	614,125	892,993	807,560	943,876	3,258,554	91,825
Distribution	783,464	29,542	339,028	-	1,152,034	16,663
Depreciation	923,232	394,536	111,697	247,723	1,677,188	-
Production	4,266,866	303,445	1,340,366	-	5,910,677	-
Total Operating Expenses	6,587,687	1,620,516	2,598,651	1,191,599	11,998,453	108,488
Income (Loss) from Operations	1,081,881	48,695	408,937	57,206	1,596,719	(108,453)
Nonoperating Revenues (Expenses):						
Interest revenue	499,541	-	90,147	21	589,709	-
Interest expense	(251,518)	(56,138)	-	(480)	(308,136)	-
Miscellaneous / Merchandise Sales / Grants	(1,413,385)	653,502	(76,442)	5,914	(830,411)	392,800
Total Nonoperating Revenues (Expenses)	(1,165,362)	597,364	13,705	5,455	(548,838)	392,800
Change in net position	(83,481)	646,059	422,642	62,661	1,047,881	284,347
Total net position (deficit) - beginning	20,485,647	8,201,986	6,543,465	3,881,913	39,113,011	(587,874)
Total net position (deficit) - ending	$ 20,402,166	$ 8,848,045	$ 6,966,107	$ 3,944,574	$ 40,160,892	$ (303,527)

The notes to financial statements are an integral part of this statement

EXHIBIT 7

CITY OF FALLS CITY, NEBRASKA
STATEMENT OF CASH FLOWS
PROPRIETARY FUNDS
FOR THE YEAR ENDED SEPTEMBER 30, 2024

	Business Type Activities - Enterprise Funds					Governmental Activities-Internal Service Fund
	Electric Fund	Water Fund	Gas Fund	Sewer Fund	Total	
CASH FLOWS FROM OPERATING ACTIVITIES:						
Cash received from customers	$ 7,253,012	$ 3,042,981	$ 3,025,933	$ 1,307,619	$ 14,629,545	$ 7,364
Cash payments for operating costs	(4,528,250)	(741,902)	(1,681,997)	(359,108)	$ (7,311,257)	(26,905)
Cash payments to employees	(1,004,617)	(520,960)	(569,363)	(407,148)	$ (2,502,088)	(81,583)
Net Cash Provided (Used) by Operating Activities	1,720,145	1,780,119	774,573	541,363	4,816,200	(101,124)
CASH FLOWS FROM CAPITAL AND RELATED FINANCING ACTIVITIES:						
Proceeds/(Payments) from/to loans	-	(42,531)	-	(135,725)	(178,256)	-
Purchases and construction of capital assets	(2,256,120)	(459,326)	(497,641)	(138,274)	(3,351,361)	-
Interest and principal paid on capital debt	(1,131,839)	(56,138)	-	-	(1,187,977)	-
Net Cash Provided (Used) by Capital and Related Financing Activities	(3,387,959)	(557,995)	(497,641)	(273,999)	(4,717,594)	-
CASH FLOWS FROM INVESTING ACTIVITIES:						
Purchase of investments	-	-	-		-	-
Sale of investments	308,165	-	3,950,241	804,971	5,063,377	-
Interest and dividends / Grants	499,541	248,898	90,147	21	838,607	-
Net Cash Provided (Used) by Investing Activities	807,706	248,898	4,040,388	804,992	5,901,984	-
CASH FLOWS FROM NON -CAPITAL FINANCING ACTIVITIES:						
Cash received from operating and equity transfers	380,000	-	-	-	380,000	14,129
Net Increase (Decrease) in Cash	6,295,810	1,471,022	4,317,320	1,072,356	13,156,508	(86,995)
Cash at beginning of the year	2,039,013	(286,031)	1,479,956	177,698	3,410,636	(232,909)
Cash at end of the year	8,334,823	(1,184,991)	5,797,276	1,250,054	16,567,144	(319,904)
Reconciliation of operating income (loss) to net cash provided (used) by operating activities:						
Net operating income (loss)	1,081,881	48,695	408,937	57,206	1,596,719	(108,453)
Adjustments to reconcile operating income to net cash provided (used) by operating activities:						
Depreciation expense	923,232	394,536	111,697	247,723	1,677,188	-
(Increase) decrease in receivables	(416,556)	1,373,770	18,345	(58,814)	916,745	7,329
(Increase) decrease in inventory	152,412	(35,618)	17,338	-	134,132	-
Increase (decrease) accrued expense & other liabilities	570	(1,264)	20,314	7,171	26,791	-
Increase (decrease) in accounts payable	(21,394)	-	197,942	288,077	464,625	-
Net adjustments	638,264	1,731,424	365,636	484,157	3,219,481	7,329
Net cash provided (used) by operating activities	$ 1,720,145	$ 1,780,119	$ 774,573	$ 541,363	$ 4,816,200	$ (101,124)

The notes to financial statements are an integral part of this statement.

CITY OF FALLS CITY, NEBRASKA
SCHEDULE OF REVENUES, EXPENDITURES, AND
CHANGES IN FUND BALANCES - BUDGET AND ACTUAL - BUDGETARY BASIS
GENERAL FUND
FOR THE YEAR ENDED SEPTEMBER 30, 2024

	Budgeted Amounts		Actual Amounts	Budget to GAAP Differences	Actual Amounts
	Original	Final	Budgetary Basis	Over (Under)	GAAP Basis
Revenues:					
Property and city taxes	$ 2,849,838	$ 2,849,838	$ 3,758,156	$ -	$ 3,758,156
Fines and forfeits	3,695	3,695	1,270	-	1,270
Licenses, fees, and permits	76,250	76,250	122,634	-	122,634
Intergovernmental	2,173,867	2,173,867	2,046,368	-	2,046,368
Charges for services	134,800	134,800	104,105	-	104,105
Sale of property/supply	500	500	191,649	-	191,649
Interest/Dividends	2,930	2,930	89,847	-	89,847
Rent	122,741	122,741	18,755	-	18,755
Contributions	7,550	7,550	45,125	-	45,125
Miscellaneous	12,300	12,300	69,130	-	69,130
Total Revenues	5,384,471	5,384,471	6,447,039	-	6,447,039
Expenditures:					
General government	465,329	465,329	764,137	195,993	960,130
Public safety	1,783,148	1,783,148	1,721,110	1,046,424	2,767,534
Street and alley	1,964,012	1,964,012	812,111	-	812,111
Airport	450,250	450,250	173,111	89,451	262,562
Cemetery	107,108	107,108	131,296	249,750	381,046
Culture and recreation	1,131,232	1,131,232	942,075	-	942,075
HUD Capital Outlay	1,388,750	1,388,750	292,881	-	292,881
Capital Outlay	-	-	1,905,938	-	-
Community development	-	-	808,871	-	808,871
Total Expenditures	7,289,829	7,289,829	7,551,530	1,581,618	7,227,210
Excess (deficiency) of revenues over expenditures	(1,905,358)	(1,905,358)	(1,104,491)	(1,581,618)	(780,171)
Other Financing Sources (Uses):					
Transfers in	-	-	495,371	-	495,371
Transfers out	-	-	(495,371)	-	(495,371)
Total other financing sources and uses	-	-	-	-	-
Net change in fund balance	(1,905,358)	-	(1,104,491)	(1,581,618)	289,850
Fund balances - beginning	-	-	3,798,617	(135,144)	3,046,493
Fund balances - ending	$ (1,905,358)	$ -	$ 2,694,126	$ (1,716,762)	$ 3,336,343

Explanation of differences: (1) The City budgets for claims and compensated absences only to the extent expected to be paid, rather than on the modified accrual basis. (2) The amount reported as "fund balance" on the budgetary basis of accounting derives from the basis of accounting used in preparing the City's budget. (See Note 1 for a description of the City's budgetary accounting method.) This amount differs from the fund balance reported in the statement of revenues, expenditures, and changes in fund balances because of the cumulative effect of transactions such as those described above.

CITY OF FALLS CITY, NEBRASKA
COMBINING STATEMENT OF REVENUES, EXPENDITURES AND CHANGES
IN FUND BALANCES – NON-MAJOR GOVERNMENTAL FUNDS
30-Sep-24

	Steele Trust Cemetery	Library Project	Unemployment	Total 2024
Revenues:				
Intergovernmental/Grants	-	-	-	-
Local	10,500	-	-	10,500
Total Revenues	10,500	-	-	10,500
Total Expenditures	-	7,152	-	7,152
Excess (deficiency) of revenues over expenditures	10,500	(7,152)	-	3,348
Other Financing Sources				
Interest Income	3,234	-	166	3,400
Net change in fund balance	13,734	(7,152)	166	6,748
Fund balance at beginning of year	360,302	52,127	120,709	533,138
Fund balance at end of year	$ 374,036	$ 44,975	$ 120,875	$ 539,886